Apple Inc.

Annual Business Overview — Fiscal Year 2024

Fiscal Year Ending September 28, 2024

1. Business Overview

Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories, and sells a variety of related services. The Company's fiscal year 2024 ended on September 28, 2024. Apple's products and services include iPhone, Mac, iPad, Apple Watch, AirPods, Apple TV, HomePod, and a portfolio of software and cloud services including the App Store, Apple Music, iCloud, Apple Pay, and Apple Intelligence.

Apple operates through five geographic segments: Americas, Europe, Greater China, Japan, and Rest of Asia Pacific. The Americas segment generated net sales of $167.0 billion in fiscal year 2024, representing the largest geographic segment. Greater China contributed $66.9 billion in net sales despite continued macroeconomic headwinds and intensifying competition from domestic Chinese smartphone manufacturers including Huawei.

2. Products and Hardware Supply Chain

2.1 Semiconductor Procurement

Apple designs its own system-on-chip (SoC) silicon under the Apple Silicon brand, including the A18 Pro chip used in iPhone 16 Pro and the M4 chip used in Mac and iPad product lines. Apple relies on Taiwan Semiconductor Manufacturing Company (TSMC) as its primary and sole foundry partner for the manufacture of all Apple-designed chips. TSMC fabricates Apple's chips at its facilities in Taiwan using advanced process nodes, including the 3-nanometer process technology used for the A18 Pro and the 2-nanometer process node planned for future Apple chip generations.

Apple's dependence on TSMC as a sole-source supplier for its most advanced semiconductor components represents a significant concentration risk. Any disruption to TSMC's manufacturing operations — whether caused by natural disasters, geopolitical events, power outages, or equipment failures — would directly impact Apple's ability to manufacture and deliver its primary revenue-generating products. Apple does not maintain sufficient inventory reserves to sustain prolonged manufacturing interruptions.

2.2 Key Suppliers

Beyond TSMC, Apple's supply chain includes Samsung Electronics as a supplier of OLED display panels for certain iPhone models and DRAM memory components. Samsung and TSMC are also competitors in the foundry market. ASML Holding N.V. supplies the extreme ultraviolet (EUV) lithography equipment that TSMC uses to manufacture Apple's advanced chips. Because ASML is the sole global supplier of EUV lithography machines, any disruption to ASML's production or export capabilities indirectly affects Apple's chip supply through TSMC.

3. Financial Performance

Apple reported total net sales of $391.0 billion for fiscal year 2024, representing a 2.0% increase from $383.3 billion in fiscal year 2023. Net income was $93.7 billion, with diluted earnings per share of $6.08.

Segment / Product	FY2024 Revenue (USD B)	FY2023 Revenue (USD B)	YoY Change
iPhone	$201.0B	$200.6B	+0.2%
Mac	$29.9B	$29.4B	+1.7%
iPad	$26.7B	$28.3B	-5.7%
Wearables & Home	$37.0B	$39.8B	-7.0%
Services	$96.2B	$85.2B	+12.9%
Total	$391.0B	$383.3B	+2.0%

4. Key Risk Factors

Geopolitical Risk — Taiwan

Apple's reliance on TSMC for all advanced chip manufacturing creates direct exposure to geopolitical tensions in the Taiwan Strait. A conflict or blockade involving Taiwan would halt TSMC's operations, which would in turn halt Apple's ability to produce iPhone, Mac, and iPad products. Apple has no alternative foundry capable of manufacturing chips at 3-nanometer or below process nodes at the required volumes.

Supplier Concentration Risk

Apple depends on a small number of suppliers for critical components. TSMC is the sole manufacturer of Apple Silicon chips. ASML is the sole manufacturer of EUV lithography equipment on which TSMC depends. Samsung supplies OLED panels for iPhone and DRAM memory. Loss of any of these relationships would materially harm Apple's product roadmap.

China Market Risk

Greater China represents 17.1% of Apple's net sales. Rising trade tensions between the United States and China, potential tariffs on electronics, and competition from Huawei and other domestic brands pose material risks to Apple's revenue in this geography.

Foreign Exchange Risk

Apple operates in over 175 countries and is exposed to fluctuations in foreign currency exchange rates. Approximately 58% of Apple's net sales are denominated in non-US dollar currencies. A strengthening US dollar reduces the reported value of international revenue.

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